

# Equity Momentum Swing Beast

The setup

# Two Setups

This strategy has two setups

One is very simple with indicators, less powerful but simpler to trade

The other is also uses these indicators but uses more precise price action for stops and entries

# The Difference?

One is for traders just getting in to systems trading and are learning how to use risk management and position sizing techniques

The more advanced version is for traders who already understand and implement position sizing to maximize their trading results

# The first Setup

Chart Settings

Daily time frame (1d/24h)

SQN-FX-ChrisDMacro 100

MACD 20-26-9 (default is 12-26-9)

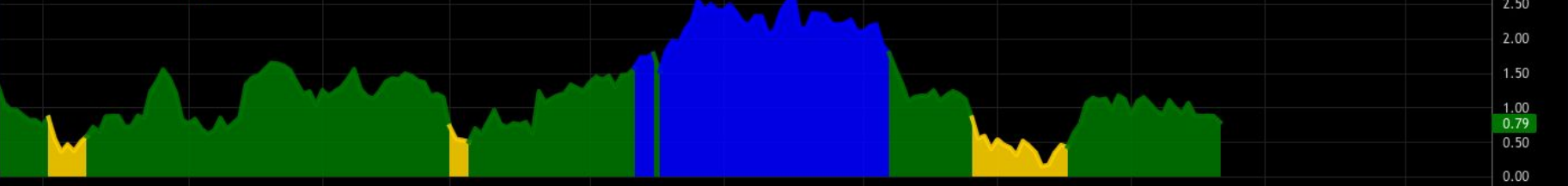
SPDR Select Sector Fund - Health Care · 24h · Arca

132.97 0.00 132.97

O133.76 H134.63 L132.86 C132.93 -0.86 (-0.64%)



SQN-FX-ChrisDMacro 100 0.79



MACD 20 26 close 9 EMA EMA -0.00 0.30 0.31



# \$XLV Sector ETF

Bull Quiet Market Regime - Check

# **\$LLY Eli Lilly and Company**

In our original sector analysis \$XLV (Healthcare sector ETF) was in Bull Quiet

We scanned through all the holdings of \$XLV to find \$LLY was also in Bull Quiet

Eli Lilly and Company 24h · NYSE

260.70 0.00 260.70

O261.40 H270.80 L260.33 C260.72 -0.55 (-0.21%)



SQN-FX-ChrisDMacro 100 0.94



MACD 20 26 close 9 EMA EMA -0.05 1.94 1.99



# Trade Entry - Simple

Bull Quiet Market Regime

MACD crosses up

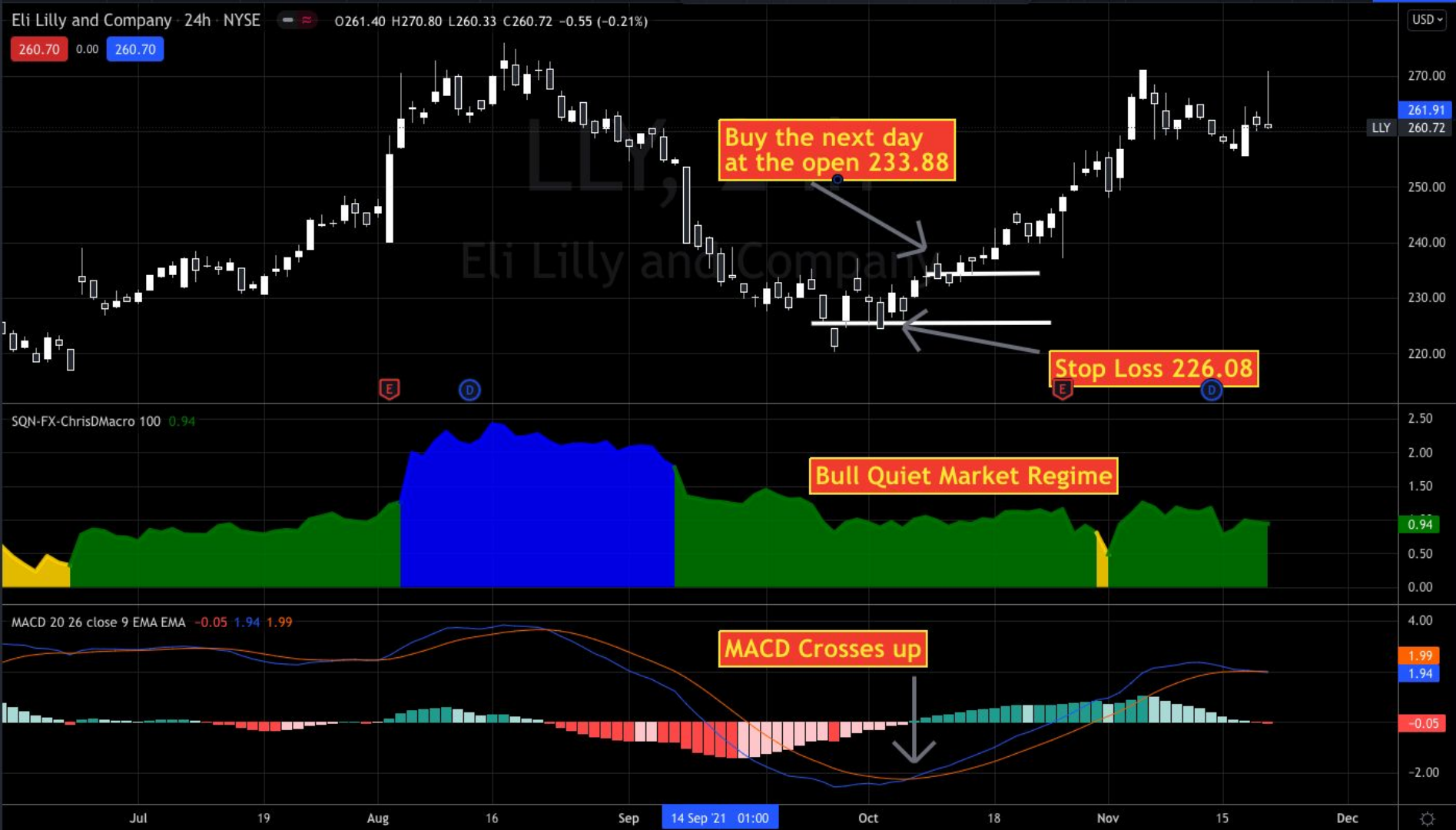
Buy the next bar at market open (or on same day close)

# Where to place your stop

Sometimes the hardest part of trading is knowing when to close the position

The stop loss is critical, because this helps you with how to size your position

In this strategy we place our stop loss on a daily close .01 below the swing low



# Trade Setup - Complex

Bull Quiet Market Regime

MACD crosses up

Place a buy stop 1 tick above the high of previous swing high

Place stop loss 1 tick below the low of the previous swing low



# Why Wait?

By waiting for price action to confirm the trade, we waited 6 full days to get into this trade

We also would've gotten in \$5 later

But we increased our odds of the trade being successful by letting the price action pull us into this trade

# Breakout/Retest/Breakout

In the Complex version of this strategy we are waiting for confirmation of price action that the trade is indeed on

We then decrease our risk because a new higher stop loss is in place, the new swing low

In the complex version our stop loss is \$6

In the simple version our stop loss is \$7.80

This allows for larger position sizing

## When to Exit

This is where the simplicity of the system stands out

Exit 25-30 trading days later

That's it, the strategy can exit any time that week

You can employ a trail stop or you can simply exit on a down day after 25 trading days

(that's trading days, not calendar days)



# Simple Strategy Results

Entry 233.88

Stop 226.08

R(risk) = \$7.8

Exit 264.62

Profit = \$30.74

# Complex Strategy Results

Entry 238

Stop 231.99

R(Risk) = \$6.01

Exit 261.27

Profit = 23.27

# Simple or Complex

On first look the simple strategy made more money in this instance however there are advantages to the complex strategy

The win rate on the complex strategy is about 10% higher

The stops are tighter on the complex strategy so you can take larger positions to capture more profits on a smaller move

The ease and still profitability of the simple strategy makes running the strategy easier

## Up Next

In the next lesson we'll cover risk management and position sizing